



THE REACH OF MODERN RETAIL IS LARGELY LIMITED TO THE TOP 40-50 URBAN CENTRES

RETAIL IN RURAL INDIA IS

a bigger challenge. We expect 30 per cent growth in the next few months.

SURAJIT MISRA
EXECUTIVE VP,
BAJAJ CAPITAL

Multiple MARKETS

2001 The first store of the Big Bazaar chain is launched in Kolkata.



2003 Metro Cash & Carry's first wholesale outlet in India opens in Bangalore. The same year, Louis Vuitton opens its first India store in Delhi.

2006 The Government allows FDI in single-brand retailing. Up to 51 per cent is permitted. Reliance formally enters the retail space with its Reliance Fresh chain.

2007 UP Chief Minister Mayawati orders closure of 10 Reliance Fresh stores after several protests and stone-pelting.

2009 Bharti Wal-Mart opens its first Indian Cash & Carry outlet in Amritsar.

spirit of india special ■

reached its peak in 2005 with the announcement by Reliance that it would enter the retail sector with a multi-billion dollar investment outlay. The Aditya Birla Group and Bharti Group announced their own mega plans shortly thereafter while others including Godrej, Essar, and Avantha also made their respective entries albeit in a more conservative manner. The impact of the entry of the large Indian business houses in the retail sector not only reaffirmed its huge potential but also set into motion several unintended distortions, the price of which almost the entire modern retail sector paid subsequently and still continues to pay—with absolutely disastrous outcomes for some including Piramyd, Subhiksha, and Vishal. The biggest distortion was chasing growth with an extraordinary quantum of investment giving scant regard to viability or profitability. Indeed, the star sector of 2005 became almost a pariah in 2009 with many in the media and otherwise writing epitaphs for even those who started late in 2006 and who are still in the very early stages of business learning and investment mode.

While much of the malaise that has affected the nascent modern retail sector is largely of its own making (lack of clarity of business model and format, reckless expansion, lack of patience in building both the front and the back-ends at the same time), the role of the government has been truly confounding. Showing total disregard for the empirical and qualitative evidence that an efficient, modern retail distribution system connecting the producer and the end consumer is absolutely essential for the growth of the economy, and for the benefit of hundreds of millions of middle and lower income consumers in particular, successive governments have tied themselves into knots by taking a totally indefensible stand against modern retail. What's more, the government continues to take an adversarial stance against modern retail by banning or limiting FDI and preventing access to global capital by disallowing even FII investment, leading to the ironic situation where just about every major international brand and retailer is already operating in India, but the entire capital invested is that of Indian entities.

Hence, while at the beginning of the